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LA Public Service Commission

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January 14, 2025

VIA HAND DELIVERY
Mr. Brandon Frey
Executive Secretary
Louisiana Public Service Commission
Galvez Building – 12th Floor
602 North 5th Street
Baton Rouge, Louisiana 70802

Re: Beauregard Electric Cooperative, Inc.; *Application for (1) Approval of Initial Revenue Adjustment, (2) Approval of Formula Rate Plan, (3) Approval of Modifications to Standard Terms and Conditions and Associated Rate Schedules, and (4) Request for Interim Rate Relief* (LPSC Docket No. U - _____)
Request for 15-day Intervention

Dear Secretary Frey:

Enclosed for filing is Beauregard Electric Cooperative, Inc.'s (the "Cooperative") Application for Approval of (1) Formula Rate Plan, (2) Modifications to Standard Terms and Conditions and Associated Rate Schedules, and (3) Request for Interim Rate Relief (the "Application").

Please note that the Application includes a **CONFIDENTIAL** exhibit (Confidential Exhibit "A"), which is being provided to you under seal pursuant to the provisions of the LPSC General Order dated August 31, 1992, and Rules 12.1 and 26 of the Commission's Rules of Practice and Procedure.

Hand

The Cooperative respectfully request that this matter be given a **fifteen (15) day intervention** and published in the upcoming Commission's Official Bulletin (Bulletin No. 1341).

If any additional information is needed, please feel free to contact me. Thank you and kindest regards.

Sincerely,

Kara B. Kantrow

Enclosure: as stated

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BEFORE THE
LOUISIANA PUBLIC SERVICE COMMISSION

BEAUREGARD ELECTRIC COOPERATIVE, INC. *EX PARTE*, APPLICATION FOR APPROVAL OF INITIAL REVENUE ADJUSTMENT, APPROVAL OF FORMULA RATE PLAN, APPROVAL OF MODIFICATIONS TO STANDARD TERMS AND CONDITIONS AND ASSOCIATED RATE SCHEDULES, AND REQUEST FOR INTERIM RATE RELIEF	)	DOCKET NO. U -

APPLICATION OF BEAUREGARD ELECTRIC COOPERATIVE INC. FOR INITIAL REVENUE ADJUSTMENT, APPROVAL OF FORMULA RATE PLAN, APPROVAL OF MODIFICATIONS TO STANDARD TERMS AND CONDITIONS AND ASSOCIATED RATE SCHEDULES. AND REQUEST FOR INTERIM RATE RELIEF

NOW BEFORE the Commission, through undersigned counsel, comes Beauregard Electric Cooperative, Inc. ("BECi" or the "Cooperative"), a Louisiana member-owned electric cooperative corporation organized and existing under the laws of the State of Louisiana and domiciled in Deridder, Louisiana, who respectfully represents, in support of the Cooperative's *Application for (1) Approval of Initial Revenue Adjustment, (2) Approval of Formula Rate Plan, (3) Approval of Modifications to Standard Terms and Conditions and Associated Rate Schedules, and (4) Request for Interim Rate Relief* (the "Application"):

1.

The Louisiana Public Service Commission (the "Commission" or "LPSC") exercises exclusive jurisdiction to regulate the rates and services of the Cooperative, pursuant to Article IV, Section 21, of the Louisiana Constitution. Further, La. R.S. 45:1163 provides in pertinent part:

> A. (1) The Commission shall exercise all necessary power and authority over any street railway, gas, electric light, heat, power,

> waterworks, or other local public utility for the purpose of fixing and regulating the rates charged or to be charged by and service furnished by such public utilities.

Additionally, La. R.S. 45:1176 provides in pertinent part:

> The commission…shall investigate the reasonableness and justness of all contracts, agreements and charges entered into or paid by such public utilities with or to other persons, whether affiliated with such public utilities or not...

2.

The Cooperative is a private business organized under the Louisiana Electric Cooperative Law codified in Title 12 of the Louisiana Revised Statutes, La. R.S. 12:401, *et seq.* (hereinafter referred to as the "Electric Cooperative Law") and is governed by validly-adopted bylaws, the adoption and approval of which were done pursuant to and in accordance with the Louisiana Revised Statutes. By virtue of the cooperative business structure, the Cooperative has no shareholders – the Cooperatives are owned by the communities they serve. The Cooperative has functioned effectively under the Electric Cooperative Law for almost 85 years, including before and after the ratification of the Louisiana Constitution of 1974.

As to the powers of the Cooperatives, as recognized by Electric Cooperative Law, La. R.S. 12:403. Powers, states in pertinent part:

> A cooperative may:
>
> (15) Do and perform any and all other acts and things, and to have and exercise any and all other powers which may be necessary, convenient or appropriate to accomplish the purpose for which the cooperative is organized.

Additionally, La. R.S. 12:420. Refunds to Members, states in pertinent part:

A. Revenues of a cooperative for any fiscal year shall first be used to:
(1) Defray expenses of the cooperative and of the operation and maintenance of its facilities during such fiscal year;
(2) Pay interest and principal obligations of the cooperative coming due in such fiscal year;
(3) Finance, or to provide a reserve for the financing of, the construction or acquisition by the cooperative of additional facilities to the extent determined by the board of directors;
(4) Provide a reasonable reserve for working capital;
(5) Provide a reserve for the payment of indebtedness of the cooperative maturing more than one (1) year after the date of the incurrence of such indebtedness in an amount not less than the total of the interest and payments in respect thereof required to be made during the next following fiscal year; and
(6) Provide a fund for education in cooperation and for the dissemination of information concerning the effective use of electric energy and other services made available by the cooperative.

3.

BECi provides electric service to members in southwestern Louisiana, serving the following parishes: Allen, Beauregard, Calcasieu, Evangeline, Jeff Davis, Rapides, and Vernon. The Cooperative owns and maintains throughout its service territory approximately 5,500 miles of distribution lines connecting 22 distribution substations and 8 transmission substations while serving approximately 44,695 meters and approximately 32,000 members. BECi has a peak load of approximately 296 megawatts. The Cooperative's main headquarters is in Deridder, Louisiana. A nine-member Board of Directors (the "Board") governs BECi. The Board is elected by BECi's members, which are the owners of the system *and* its ratepayers. As a Cooperative, BECi has no shareholders.

4.

BECi was incorporated on March 3, 1939, with the purpose of providing low cost and efficient electricity consistent with the public interest in addition to providing safe and reliable service to its members. The Cooperative continues today to provide safe and reliable service at rates that are just, reasonable, and equitable for its members. These objectives remain BECi's purpose to date.

5.

As to the origin of BECi and the financing of the same, electric cooperatives, like BECi, had their roots in the New Deal policies of the 1930's.[1] When the Rural Electrification Administration ("REA") began, funds were loaned to applicants to construct electric facilities in rural areas.[2] The program rapidly grew the electrification of rural America. Today, 100% of BECi's debt financing is through the National Rural Utilities Cooperative Finance Corporation ("CFC"). CFC is a member owned cooperative created in 1969 by and for rural electric cooperatives as an alternative source of financing to the REA.[3]

6.

The Cooperative's operations are funded by electric rates paid by (i) BECi's members[4] (members' rates have not been adjusted by virtue of a full base rate case **since 2013**, which was

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[1] https://www.nps.gov/home/learn/historyculture/ruralelect.htm.

[2] https://www.electric.coop/our-organization/history#:~:text=In%201937%2C%20the%20REA%20drafted,%2C%20consumer%2Downed%20electric%20cooperatives.

[3] https://www.nrucfc.coop/content/nrucfc/en/about-cfc/our-history.html#:~:text=The%20National%20Rural%20Utilities%20Cooperative%20Finance%20Corporation%20%28CFC%29,Hamil%2C%20head%20of%20the%20Rural%20Electrification%20Administration%20%28REA%29.

[4] By way of background, BECi's original Formula Rate Plan (hereinafter referred to as the "Initial FRP") was authorized by LPSC Order No. U-32540, issued April 29, 2013. BECi's Initial FRP began with test year 2012 and expired with test year 2014 and had a bandwidth of 1.50-1.70, whereby a rate reset would be to either the low or high

based on a ***2011 test year***), (ii) long-term debt borrowed from CFC, (iii) member contributions in aid of construction, (iv) cash received from capital credits paid to BECi by other entities, and (v) short-term operating lines of credit. There are no other sources of funding available to BECi. Cooperative margins are allocated to members in the form of patronage capital and retained as a source of capital to be used for capital additions and retirement of prior margins in the form of capital credits paid to members. As a not-for-profit organization, those margins do not belong to the Cooperative, but rather belong to each of the members of BECi and must be returned to BECi's member-owners. BECi, as a cooperative, is unique and different than an investor owned utility, in that monies collected by the Cooperative are either spent on the betterment of the Cooperative's system and/or to ensure financial stability and eventually are returned to the member-owners – these intrinsic values are for the betterment of the membership, not personal gain.

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end of the bandwidth, depending on the Modified Debt Service Coverage (hereinafter referred to as "MDSC") ratio calculation at the end of each test year. BECi requested in 2015 and the Commission authorized in 2016 BECi's request for extension and modification of its Initial FRP by extending the term for another three (3) years and allowing for a modified rate reset of 1.60 (hereinafter referred to as the "Amended FRP"), see LPSC Order No. U-33908, Beauregard Electric Cooperative, Inc., ex parte, *In re: Request for extension of Formula Rate Plan and for Modifications thereto* (hereinafter referred to as "Order U-33908") on August 8, 2016. BECi filed the 2017 Test Year Filing pursuant to Order U-33908 on April 11, 2018, see LPSC Docket No. U-34819, Beauregard Electric Cooperative, Inc. ex parte, *In re: 2017 Test Year Annual Report Filing*. The Commission approved the Joint Report of Commission Staff and BECi, which, *inter alia*, required BECi to file a complete base case no later than July 31, 2019 based upon a Revenue Requirement for the twelve-month test year ending December 31, 2018 and a supporting Allocated Cost of Service Study for the twelve-month test period ending December 31, 2017, providing that no significant changes in rate structure or customer class demand occurred in 2018 (See LPSC Order No. U-34819, Beauregard Electric Cooperative, Inc. ex parte, *In re: 2017 Test Year Annual Report Filing* (hereinafter referred to as "Order U-34819"). In accordance with Order U-34819, BECI filed an "*Application for Approval of Initial Revenue Adjustment and Extension and Modification of Formula Rate Plan,*" with the Commission on July 26, 2019, which was dismissed by virtue of the granting of an "*Unopposed Motion to Withdraw Application and Motion to Dismiss*" on July 24, 2020 (see Ruling on Motion to Dismiss issued by Executive Secretary in LPSC Docket No. U-35351).

7.

A significant contribution to the determination of the revenue requirement for BECi (like other electric cooperatives) is the cash needed to fund plant additions, and whether it will be funded through cash generated from rates or long-term borrowing from outside lenders. If BECi's rates are set too low, then BECi must rely more heavily on outside borrowing, which increases exposure to interest rates and forces continued pressure on BECi's already eroding equity position (as indicated in the attached supporting pre-filed direct testimonies). Generating sufficient cash from rates to sustain and/or grow equity provides a more balanced approach as to which members are required to fund an appropriate portion of capital expenditures. Relying too heavily on long-term debt to fund capital expenditures, that will be in place 30 or more years, creates an inequity in cost recovery between current and future members. The more equitable approach, as proposed by BECi in the instant matter, is to balance the source of funds used to invest in capital expenditures between cash generated from current rates with cash generated from long-term debt funding. This ensures that both today's members and tomorrow's members are paying equitably and fairly for a portion of the plant in service from which everyone is receiving service.

8.

As evident from the pre-filed direct testimonies and associated exhibits/attachments, BECi's current financial operations are unsustainable, and the rate relief requested is not excessive. The rates requested herein will provide BECi with much needed revenue to improve the Cooperative's operating deficit, allow the Cooperative to pay operating expenses, help properly fund capital additions, and produce a modified debt service coverage ratio consistent with BECi's financial objectives. As indicated in the attached supporting direct pre-filed testimonies, BECi

does not currently generate adequate margins to continue operations due to insufficient revenues and cash flows. Factors as simple as the continual effects of inflation, increases in wages, unforeseen expenses, an emergency or natural disaster, or other unanticipated event that negatively affects the Cooperative's finances would immediately put the Cooperative at risk of financial turbulence. BECi's electric rates must produce sufficient margin, at a minimum, to not only meet the requirements identified by the Cooperative's debt covenants, but more importantly, must also produce sufficient cash for the unique operating requirements of BECi so that the Cooperative's finances are stable and healthy.

9.

In support of the Application, BECi attaches to and makes part of the Application the following direct pre-filed testimony and exhibits/attachments:

- Exhibit MV: Direct Pre-Filed Testimony and Exhibits of Mr. Mike Viator, BECi's Executive Vice President and General Manager;
- Exhibit JP: Direct Pre-Filed Testimony and Exhibits of Mr. Justin Proctor of C. H. Guernsey & Company;
- **CONFIDENTIAL** Exhibit A: Rate Analysis and Cost of Service Study (produced electronically via enclosed thumb drive);
- Exhibit B: Proposed Formula Rate Plan Rider;
- Exhibit C: Existing Tariff with Rate Schedules and Rate Riders;
- Exhibit D: Proposed Rate Schedules (redlined version of Rate Schedules pursuant to Section 501(B)(2) of LPSC General Order 7/1/2019 (Docket No. R-34758)); and
- Exhibit E *in globo*: In compliance with the Order issued in LPSC Docket R-35462, Beauregard submits the Rate Impact Report to demonstrate the rate impact as requested by this Application (both for the requested interim rates and final proposed rates).

Applicant reserves the right to supplement this filing with additional exhibits and testimony. Additionally, in compliance with the order issued in LPSC Docket No. R-35462, BECi submits the Rate Impact Report to demonstrate the residential rate increase as requested in the interim and final rate increase that demonstrates the impact of the base rate increase requested. These schedules are attached to the testimony of Justin Proctor who performed the calculations on behalf of BECi.

10.

As will be seen from the attached pre-filed direct testimonies, schedules and exhibits, the requests contained herein will allow BECi to, among other things, i) improve the Cooperative's financial condition, ii) increase margins, iii) maintain equity as a percentage of capitalization, iv) fund needed distribution plant additions with a greater percentage of internal funds, and v) make appropriate changes to BECi's tariffs. Further, the requests herein have been approved by the Board.

INITIAL REVENUE ADJUSTMENT

11.

BECi requests an initial revenue adjustment in the amount of $3,721,605 (which represents 40% of the total proposed revenue increase). The proposed revenue requirement for BECi is $142,612,827, which requires an additional $9,304,013 in operating revenues (representing a 6.98% increase over the adjusted 2023 test year) and provides an initial modified debt service coverage ("MDSC") of 1.95 and a 4.50% rate of return on BECi's historic value rate base of $302,193,695. This request for initial revenue adjustment is in the public interest given the need for rate relief to improve BECi's negative operating margins. Without the revenue adjustment as

proposed by BECi, the Cooperative would be unable to recover its increased costs of service during the rate effective period, beginning January 1, 2025. BECi's MDSC for the adjusted 2023 test year is 1.07 (as indicated in the attached Pre-Filed Direct Testimonies).

IMPLEMENTATION OF FORMULA RATE PLAN

12.

BECi's most recent formula rate plan ("FRP"), as dictated per LPSC Order No. U-34108 dated 1/11/2017, has expired. The last prescribed year of the original FRP was that of a 2017.

13.

The implementation of an FRP with properly set coverage ratio boundaries is in the best interest of BECi and its members as it will provide a regular plan for determining and adjusting BECi's revenue requirements while giving the Cooperative the ability to meet its financial goals and obtain long-term debt funds from its lenders on a regular as-needed basis. This approach will allow BECi the ability to consistently maintain a sound financial position, which will allow for access to long-term debt funds when needed, which will in turn allow BECi to make necessary system improvements and expansions and provide adequate and reliable service to its members. Accordingly, the FRP as proposed by BECi is in the public interest.

14.

BECi's FRP calls for yearly review of submitted financial information with appropriate revenue adjustments in the form of a Rider expressed as a percentage of base rate revenues and applied to all rates as provided for in the FRP. The proposed FRP will have a three (3) year term, beginning with a 2027 test year. Any future adjustments to be made would be to correct BECi's

MDSC level to an FRP proposed minimum level of one point eight (1.80), a maximum level of two point zero (2.00), and a mid-point reset of one point nine (1.90). Any future adjustments to be made would be to correct BECi's MDSC to a mid-point level of 1.90. In essence, BECi proposes that regardless of whether the MDSC falls below or exceeds the MDSC band level of 1.80 to 2.00, the FRP revenue level will be reset to the mid-point of 1.90, not the extreme low level or high level of the band.

MODIFICATIONS TO STANDARD TERMS AND CONDITIONS/RATE SCHEDULES

15.

BECi also proposes to modify the Cooperative's rate tariffs including monthly customer service charges, demand charges and energy charges to recover BECi's basic cost of connecting and maintaining service availability. These proposed changes are further detailed in the attached pre-filed direct testimonies and exhibits. Additionally, BECi proposes updates to certain schedules within the Cooperative's Standard Terms and Conditions (*i.e.* rate schedules), which are also discussed in the attached pre-filed direct testimonies and illustrated in the accompanying exhibits/attachments.

16.

Pursuant to Section 501 of LPSC General Order 7/1/2019 (Docket No. R-34738), *In re: Proceeding to Establish Rules Regarding Electric Utility Tariff Filings and Related Review, Including Site Specific Rate Filings*, hereby provides written notice to the Executive Secretary of the Commission of the proposed changes to BECi's Tariff, for the reasons stated herein and in the attached testimony. Also, in compliance with LPSC General Order 7/1/2019 (Docket No. R-

34738), BECi provides with this filing, attached as Exhibit D, a redline version of the amended Rate Schedules or Rate Riders.

Additionally, also pursuant to Section 501 in LPSC General Order 7/1/2019 (Docket No. R-34738), regarding BECi's HLF and HLF ASP tariff, given good cause (as detailed in the attached pre-filed direct testimony), BECi requests expedited consideration on the proposed change to the aforementioned tariffs, which is required to be in place and effective no later than **April 1, 2025** so as to coincide with the Cooperative's transition to 1803 Electric Cooperative, Inc. ("1803") for power supply and delivery. BECi's current retail rate is modeled after its wholesale supplier (presently Louisiana Generating LLC ("LaGen")). The current rate also requires the fuel and non-fuel power cost adjustment to be calculated in a manner consistent with the retail rate design. BECi's current wholesale power contract expires March 31, 2025 (the "LaGen Contract"). Upon expiration of the LaGen Contract, 1803 becomes BECi's wholesale power supplier. 1803's rate structure is not compatible with BECi's retail structure for the HLF and HLF ASP accounts, which account for 45% of BECi's load. Implementing the proposed HLF and HLF ASP rates in conjunction with the transition to 1803 enables BECi to implement a retail rate which directly assigns and recovers power cost separately from the recovery of the Cooperative's retail delivery function. Given the timing issues surrounding these two tariffs, there is good cause to ensure that the changes to the HLF and HLF ASP occur simultaneously with BECi's switch to its new power provider.

INTERIM RATE RELIEF

17.

Additionally, BECi is seeking rate relief on an interim basis. BECi is prepared to post security to guarantee that any money ultimately determined by the Commission as not recoverable after a full and complete review of the instant application is returned to BECi's members. This request for interim rate relief is in the public interest, necessary to preserve the financial integrity of the Cooperative, and will ensure that adequate electric service is continued for BECi's members/ratepayers. Furthermore, the interim rate relief is proposed to become effective **June 1, 2025**, and no other alternatives exist to meet the Cooperative's need but for the instant requested interim rate relief. The details of the interim rate relief requested are provided in the attached pre-filed direct testimonies.

18.

Applicant requests that notices, correspondence, and other communications concerning this matter be directed to the following persons:

Kara B. Kantrow
Kyle Marionneaux
John Grinton
Marionneaux Kantrow, LLC
10202 Jefferson Highway, Building C
Baton Rouge, Louisiana 70809
Telephone: (225) 769-7473
Facsimile: (225) 757-1709
Email: kara@mklawla.com
kyle@mklawla.com
john@mklawla.com

Applicant requests that the foregoing individuals be placed on the Official Service List for this proceeding and respectfully requests that the Commission permit the designation of more than one person to be placed on the Official Service List.

19.

BECi respectfully requests that Notice of this filing be published in the Commission's Official Bulletin, No. 1341, and interested parties be given ***fifteen (15) days*** to file any notice of intervention and/or protest.

WHEREFORE, Beauregard Electric Cooperative, Inc., prays that after all appropriate hearings and considerations that the Application as is set forth herein, and in the testimonies, exhibits, attachments, and schedules attached hereto and made part hereof, be granted, and for all other equitable relief. BECi also requests that this Application be given a ***15 day intervention period*** in the upcoming LPSC bulletin (LPSC Bulletin No. 1341).

Respectfully submitted,

MARIONNEAUX KANTROW, LLC

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